These policies were pursued most vigorously during the four decades of the 1950s, 1960, 1970s and 1980s. The country suffered because of these policy choices. Growth suffered. India's poor growth record was derided as the 'Hindu rate of growth'. While many other developing countries, especially in East Asia, broke out of the circle of low growth and high poverty, India remained largely stuck as a poor country.

India remained hooked on to the socialist bandwagon for four decades and created a planned economy with public-sector dominance and a controlled private sector in a very limited sphere of economic activity. The world, however, changed in the decades from the 1960s to the 1980s. The USSR, the fountainhead of communism and socialism, with a planned economy and all-pervasive public sector, started slowing down and eventually imploded in the 1980s. China, the other centre of communism and centralized planned economy, was a pygmy economy in the 1970s. On the other hand, the market economies of the industrialized world in Europe and Northern America, East Asian countries, like Japan and South Korea, grew spectacularly and became global economic growth engines. China, from the 1980s, and South-east Asian countries from a little earlier, started growing impressively as well.

India, however, persisted with the socialist path. Our governments continued to hold down the private sector, which kept shrinking and was present only in a few consumer sectors. The government held the private sector responsible for the ills of the economy and socially bad, while the public sector, though loss-making and producing shoddy goods, was projected to be good and socially responsible. Unable to operate freely and competitively to make profits by legitimate means, many in the private sector resorted to all means (legitimate and illegitimate) to avoid taxes, take loans from PSBs without the intention to repay or misuse them for other purposes, and defalcate funds from government programmes and projects, mostly in collusion with politicians, government servants and bank